DEBIT SPREAD

COMPLETE RULE BOOK

Basic Debit Spreads · Advanced Chart-Based Setup · Adjustment & Management

Strategy	Debit Spread (Bull Call / Bear Put)
Based on	ThetaGainers Masterclass — Lesson 4 & 5
Version	v1.0 — Combined Basic + Advanced
Lot Size	75 (NIFTY) — adjust for BankNifty / any index
Capital	Min Rs 1 Lakh per lot (recommended)
Risk	Defined — max loss = net debit paid

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PART 1 — WHAT IS A DEBIT SPREAD?

A Debit Spread is a two-legged options strategy where you buy one option and sell another at a different strike in the same underlying, same expiry, and same option type (both Calls or both Puts). You pay a net premium (debit) upfront — and that premium is your maximum possible loss.

Component	Detail
Maximum Loss	Net debit paid (fixed, known before entry)
Maximum Profit	Difference in strikes minus net debit
Break-Even	Buy strike + net debit (Call) / Buy strike - net debit (Put)
Probability of Profit	30-55% depending on setup (improves with Advanced method)
Capital Required	Net debit x lot size (much lower than naked buying)
Risk Profile	Fully defined — no unlimited loss

> KEY ADVANTAGE over Naked Option Buying: The short leg offsets ~50% of premium cost,
> moves break-even closer, and reduces the impact of adverse gap openings.
> If you lose on the short leg, you gain on the long leg — the net loss is always the debit.

PART 2 — STRATEGY VARIANTS

2.1 Bull Call Debit Spread (Bullish View)

Element	Description
Leg 1 — BUY	ATM or slightly OTM Call (e.g., 44200 CE)
Leg 2 — SELL	Higher strike Call at ~50% of buy premium (e.g., 44600 CE)
Net Direction	Bullish — profit if market rises above buy strike
Best Used When	Market at support, expecting upside move
Break-Even	Buy Strike + Net Debit

2.2 Bear Put Debit Spread (Bearish View)

Element	Description
Leg 1 — BUY	ATM or slightly OTM Put (e.g., 44200 PE)
Leg 2 — SELL	Lower strike Put at ~50% of buy premium (e.g., 43800 PE)
Net Direction	Bearish — profit if market falls below buy strike
Best Used When	Market at resistance, expecting downside move
Break-Even	Buy Strike - Net Debit

PART 3 — SECTION A: BASIC SETUP RULES

Step 1 — Build Market Bias (Chart First)

NEVER enter a debit spread without a clear directional bias from the chart. This is the most critical step.

Check	Action
Higher Time Frame	Identify trend on Daily or Weekly chart first
Support / Resistance	Mark key S/R zones — your targets come from these
Volume Confirmation	Volume must confirm directional candles (not opposing)
Bearish Signals	Big red candles with low volume on bounces
Bullish Signals	Strong green candles holding above support with volume
Trend Context	Look for completed W/M patterns, breakouts, flag patterns
Intraday Entry	Use 15-min chart to time entry after S/R break confirmation

NEVER take a trade without clear bias — no bias = no trade.

Guessing direction is not a strategy. Chart must tell you first.

Step 2 — Expiry Selection

Rule	Guideline
Minimum DTE	7 days — to avoid excessive theta decay on bought leg
Maximum DTE	21 days — beyond this, premium is expensive
Preferred Entry	Monday open or Thursday after previous expiry
Never Use	Near-expiry (1-2 DTE) — theta destroys bought leg
Weekly vs Monthly	Weekly for quick moves; Monthly for range-bound

Step 3 — Strike Selection Rules

Element	Rule
Buy Strike (Long Leg)	ATM or max 100 points OTM — never deep OTM
Sell Strike (Short Leg)	Find option at ~50% of buy premium or just below
Minimum Distance	At least 200-300 points between buy and sell strikes
Deep OTM Rule	NEVER buy deep OTM options — premium/ratio is too poor
Strike Check	Always verify spread width vs net credit received

Example (Bearish): Buy 44200 PE @ Rs 212, Sell 43800 PE @ Rs 89

Net Debit = 212 - 89 = Rs 123. Max Profit = 400 - 123 = Rs 277. R:R = 1:2.2

Break-even = 44200 - 123 = 44077. Market must close below 44077 by expiry.

Step 4 — Premium Entry Calculations

Formula	Calculation
Net Debit	Buy Premium - Sell Premium
Max Loss / Lot	Net Debit x Lot Size
Max Profit / Lot	(Strike Width - Net Debit) x Lot Size
Break-Even (Call)	Buy Strike + Net Debit
Break-Even (Put)	Buy Strike - Net Debit
Risk:Reward	Net Debit : (Strike Width - Net Debit) — target 1:2+
1:1 Profit Point	Premium earned = net debit paid (first target)
1:1 in Rs (1 lot)	Net Debit x Lot Size (e.g., 123 x 75 = Rs 9,225)

Step 5 — Risk-Reward Check (Minimum Requirements)

Check	Standard
Minimum R:R	1:2 (risk Rs 100, target Rs 200)
Good R:R	1:2.5 to 1:5 — achievable with advanced method
If R:R < 1:1.5	SKIP the trade — structure not efficient
Probability of Profit	Basic: 30-40% | Advanced chart-based: 50-55%+
Capital Risk Check	Max loss per trade <= 2% of total capital

PART 4 — SECTION B: ADVANCED CHART-BASED SETUP

The Advanced Debit Spread is still a debit spread at its core — but you add ONE extra OTM short leg at a chart-identified support/resistance zone. This converts a 1:2 setup into a 1:5 to 1:8 setup while keeping risk almost the same. This is not speculation — it requires deep chart analysis first.

4.1 — Identifying the Range / Profit Zone

Element	Guideline
Upper Boundary	Where should profit START? (nearest resistance / chart level)
Lower Boundary	Where should profit END? (support zone where market likely stops)
Profit Zone Width	Ideally 500-1000 points between upper and lower boundaries
Target Probability	Market must have high probability of staying within zone
Chart Tools	S/R zones, OI data, round numbers, previous high/low
Weekly Range	Bank Nifty historically stays within 4-5% weekly range ~90% of time
Monthly Range	Use 8-10% range as outer boundary for monthly trades

Example: Market at 44,000. Bearish. Support at 42,700 (chart bounce zone).

Profit should start at 43,700 (upper) and continue to 42,700 (lower).

Highest profit zone = center of the identified support-resistance range.

4.2 — Adding the Extra OTM Short Leg

After creating the basic debit spread, sell ONE additional OTM option at or near the chart support zone. This extra sale reduces net cost and expands the max-profit zone dramatically.

Element	Guideline
Where to Sell Extra	AT the chart support zone (e.g., 42700 PE)
Why This Level	Market unlikely to break below strong support in 7-10 days
Premium Received	Will be lower (OTM) — collect whatever is available
Effect on P&L;	Reduces net debit → expands max profit → improves R:R
Max Contracts	Only 1 extra short lot — never more than buying leg
Risk of Extra Leg	If market breaks below extra short → loss grows
Management Rule	Cut extra leg if market comes within 100 pts of that strike

The extra short leg is NOT unlimited loss — your buying leg protects you.

Worst case: you lose the width between buying leg and extra short leg (bounded).
Black swan scenario: max loss is still only Rs 4000-5000 per lot (not catastrophic).

4.3 — Risk-Reward Improvement with Advanced Method

Scenario	Outcome
Basic Setup R:R	Typically 1:2 to 1:2.5
Advanced Setup R:R	Typically 1:5 to 1:8
Loss on Upper Side	Slightly lower than basic (extra premium collected)
1% Gap Down Protection	Position remains flat or slightly positive
1% Gap Up Impact	Small loss acceptable (Rs 780-1100 on 1 lot)
Market stays flat	Theta decay works in your favour on extra short
Market falls slowly	Extra short decays, improves overall P&L; daily

PART 5 — STOP LOSS RULES

Two Methods of Stop Loss

Use EITHER method — pick one and stick to it. Never switch methods mid-trade.

Method A — Capital-Based SL (Recommended for Beginners)

Rule	Detail
Weekly SL Budget	2% of total trading capital per week
Per Trade SL	Net debit x lot size (never more than this)
Example (Rs 1 lakh)	2% = Rs 2,000/week. 1 lot debit Rs 123 x 75 = Rs 9,225 max loss
Action	If P&L; hits max debit paid → close ENTIRE position
No Override	Capital SL is absolute — no exceptions, no holding on

Method B — Chart-Based SL (For Chart-Experienced Traders)

Rule	Detail
SL Level	Close trade if market closes ABOVE the key S/R level you used for bias
Example (Bear Put)	If the recent HIGH that confirmed bearish is 44,572 → SL = 44,572
Candle Close Rule	Use CLOSING prices — not intraday highs/lows
Time to Check	3:10-3:15 PM (last candle of day)
Bias Reversal Rule	If your bias is invalidated → exit trade immediately, same day
Next Day Carry	OK to hold overnight if chart SL not triggered

NEVER hold a trade that has hit your predetermined SL hoping for reversal.
NEVER convert a debit spread into another structure when in max loss — just exit.
NEVER add a new leg to 'save' a losing trade — clean exit, fresh analysis next week.

PART 6 — PROFIT BOOKING RULES

Rule	Detail
First Target (1:1)	When P&L; = net debit paid → start safeguarding
Book Partial at 1:1	Book the buying (long) leg — sell it in market
After 1:1	Buy a CHEAPER option (lower strike put / higher strike call)
Effect of Rebuy	Converts profit to near-zero loss position — protected
Strategy Target	Hold till 1:3 or max profit if market keeps moving
Don't Wait for Max	Booking 1:1.7 to 1:2 consistently beats waiting for max
Expiry Day	Close ALL legs by 2:30 PM on expiry day — no overnight holds
Weekly Profit Rule	If you've made 5-7% of capital in a week → STOP TRADING

Profit Booking Process — Step by Step

Step 1	Wait for P&L; to reach 1:1 (profit = net debit paid in Rs)
Step 2	SELL the profitable buying leg at current market price
Step 3	BUY a cheaper option 200-300 points further OTM (same expiry)
Step 4	This new structure has ZERO or near-zero loss remaining
Step 5	Let theta work — hold for additional profit as market continues
Step 6	Close entire position if market reverses 150+ points against you
Step 7	On expiry morning — check if position profitable, close by 2:30 PM

PART 7 — ADJUSTMENT RULES

7.1 — Rolling the Buying Leg (Trailing Profit)

This is the CORE adjustment in a debit spread. As the market moves in your favour, you progressively roll the buying leg to lock in profits and reduce remaining risk.

Rule	Detail
When to Roll	When P&L; exceeds 1:1 (profit = debit paid)
What to Do	Sell current long option | Buy a cheaper OTM option
How Far to Move	100-300 points further OTM than current buy strike
Effect	Locks partial profit, reduces max loss to near zero
Frequency	Roll every 100-150 points if market continues to move
Limit	Stop rolling when you are 400+ points OTM — liquidity thins
Premium to Receive	New buy option should cost LESS than what you sold
Net Cash Flow	You should RECEIVE cash from each roll (not pay)

Example: Bought 44200 PE @ Rs 212. Market fell. 44200 PE now @ Rs 693.

SELL 44200 PE @ Rs 693. BUY 43800 PE @ Rs 416.

Cash received: 693 - 416 = Rs 277/lot extra. Your original cost recovered + profit locked.

Now if market reverses, you still keep the Rs 277 collected in the roll.

7.2 — Managing the Extra OTM Short Leg (Advanced Only)

This rule applies ONLY to the Advanced setup where an extra short put/call was sold at the support/resistance zone.

Rule	Detail
Daily Monitoring	Check extra short option value at 3:10 PM every day
Roll-Down Trigger	Extra short option decays to < Rs 10
Roll-Down Action	Buy back for Rs 10. Sell new option 100-200 pts closer
New Premium Target	Collect premium > Rs 30-50 on new sale
Repeat Process	Can roll multiple times as market moves your way
Emergency Cut Rule	If market reaches within 100 pts of extra short strike → CUT
What to Cut	Buy back the extra short immediately at market price
After Cutting	Revert to basic debit spread — no new short leg
Accepting Cut Loss	Cut loss from short leg ≈ Rs 500-1000 / lot (acceptable)

If you cut the extra short leg, your position becomes a normal debit spread.

After cutting, calculate new R:R — typically falls to 1:1 range — still acceptable.
DO NOT re-enter a new short leg immediately after cutting — wait for clarity.

7.3 — When to Cut the Trade Entirely

Condition	Action
Chart SL Hit	Market closes above/below key bias level → exit same day
Capital SL Hit	Loss = net debit paid → exit entire position
Bias Reversal	Market gives strong opposite signal → exit, reassess
Gap Against You	Market gaps 3%+ against you → review, likely exit
Time Decay Risk	< 2 DTE with no profit → close to avoid gamma risk
Liquidity Issue	Can't find buyers/sellers at fair price → market exit
Event Risk	Major event in next 24h that could gap market → exit or hedge

PART 8 — POSITION SIZING RULES

Rule	Guideline
Capital per Lot	Minimum Rs 1,00,000 per lot
Margin Required	Rs 20,000-25,000 per lot (approx — varies by strike/expiry)
Max Lots per Lakh	1 lot per Rs 1 lakh (never exceed this)
Example	Rs 5 lakh capital → max 5 lots
Max Risk per Trade	2% of total capital (e.g., Rs 2,000 on Rs 1 lakh account)
Max Risk per Week	4-5% of total capital (2 losing trades max)
Over-Leveraging	NEVER take 4 lots with Rs 1 lakh because margin allows it
Consistency Rule	1 loss trade = 1 lot. Don't double size to recover.
Capital Preservation	If down 10% on account → stop for the week, review

Formula: Lots = (Total Capital x 2%) / (Net Debit x Lot Size)

Example: Rs 1 lakh x 2% = Rs 2,000. Net debit Rs 123 x 75 = Rs 9,225.

Rs 2,000 / Rs 9,225 = 0.21 → round DOWN = 1 lot only. Do not trade 2 lots.

PART 9 — ENTRY TIMING RULES

Rule	Guideline
Best Entry Time	3:10-3:15 PM on Monday (after market settles)
Why 3:10 PM	Avoids morning noise / opening volatility spikes
Never Enter At	9:15-9:30 AM (opening — too volatile, wide spreads)
Day of Week	Monday or Tuesday — avoids theta bleed from late week entry
After S/R Break	Enter AFTER confirmed break of S/R on 15-min chart
No Chasing	If you missed the breakout, wait for next week — no chasing
Event Filter	No entry if major event (RBI, Fed, Budget) in next 2 days
Expiry Day	NEVER enter a new spread on expiry day
Reset Rule	If bias is unclear at 3:10 PM → skip the week → no trade

PART 10 — GAP UP / GAP DOWN HANDLING

Scenario	Action
1% Gap in Favour	Hold — strategy flat to slightly positive. No action.
1% Gap Against	Loss Rs 780-1100/lot (acceptable if within capital SL)
3% Gap Against	Review chart. If bias still valid → hold. Else → exit.
3%+ Gap Against	Exit on open. Do not average. Loss is bounded by debit.
5%+ Gap Any Direction	Exit both legs at open. Accept the outcome.
Black Swan (2000+ pts)	Max loss = net debit paid. Fully protected. No extra risk.
Gap in Favour — Morning	Do NOT book profit at 9:15 AM — wait for 3:10 PM
Gap Against — Morning	Wait 15 mins. If recovering, hold. Still falling → exit.

The biggest advantage of debit spreads over naked buying:
A 3% gap down on a naked put buyer = massive windfall or disaster.
On a debit spread = predictable, bounded outcome either way.
Your max loss is ALWAYS the net debit — no surprises possible.

PART 11 — COMPLETE ENTRY CHECKLIST

Complete ALL checks before entering. If ANY item fails — SKIP the trade.

- ■ Higher time frame trend identified (Bullish / Bearish)
- ■ Key support or resistance level clearly marked on chart
- ■ Volume confirms directional bias (not contradicting)
- ■ No major event (RBI / Fed / Budget / Results) in next 2 days
- ■ Expiry selected with minimum 7 DTE
- ■ Entry time is 3:10 PM or later (not morning open)
- ■ Buy strike is ATM or max 100 points OTM
- ■ Sell strike is at ~50% of buy premium
- ■ Net debit calculated and confirmed
- ■ Break-even point calculated and noted
- ■ Risk:Reward is at least 1:2 (Basic) or 1:4+ (Advanced)
- ■ Max loss per lot does not exceed 2% of total capital
- ■ Position size verified (1 lot per Rs 1 lakh minimum)
- ■ Chart SL level identified and noted (for chart-based SL users)
- ■ [Advanced] Support/Resistance zone for extra short identified
- ■ [Advanced] Extra short leg strike is 700+ points OTM from current price
- ■ [Advanced] Gap test done — 1% gap against is acceptable loss
- ■ Profit booking plan is clear (1:1 target for first action)

PART 12 — COMPLETE ADJUSTMENT CHECKLIST

When 1:1 Profit is Reached:

- ■ Calculate current P&L; — confirm it equals the net debit paid in Rs
- ■ Sell the long (buying) leg at current market price
- ■ Find a cheaper option 200 points further OTM
- ■ Buy the cheaper option to re-establish hedge
- ■ Confirm new max loss is near-zero or positive
- ■ Set new SL = original entry price of the rolling leg

When Extra Short Leg Decays (Advanced Only):

- ■ Check extra short premium at 3:10 PM daily
- ■ If value <= Rs 10 — buy it back
- ■ Immediately sell a new option 100-200 pts closer to market
- ■ Confirm new premium collected > Rs 30
- ■ Recalculate new break-even and max profit zone
- ■ Set 100-point proximity alert for the new short strike

Emergency Exit Triggers:

- ■ Chart SL level (key S/R) closes on wrong side of bias
- ■ Capital SL: total loss = net debit paid for the spread
- ■ Extra short leg: market comes within 100 pts of strike
- ■ Market gives strong reversal signal on higher time frame
- ■ Time: < 2 DTE remaining with position in loss

PART 13 — QUICK REFERENCE FORMULAS

Formula	Calculation
Net Debit	Buy Premium - Sell Premium
Max Loss (Rs)	Net Debit x Lot Size
Max Profit (Rs)	(Strike Width - Net Debit) x Lot Size
BE — Call Spread	Buy Strike + Net Debit
BE — Put Spread	Buy Strike - Net Debit
Risk:Reward	Net Debit / (Strike Width - Net Debit)
1:1 Point (Rs)	Net Debit x Lot Size (e.g., 123 x 75 = Rs 9,225)
Lot Size (NIFTY)	75
Lot Size (BANKNIFTY)	15
Max Lots	Total Capital / (Rs 1,00,000 per lot)
Max Risk Budget	Total Capital x 2% (per trade)
Weekly Max Loss	Total Capital x 5% (across all trades)
Roll Profit Check	Sale Price of Long - Buy Price of New Long = should be +ve
Extra Short Risk	Short Strike - Buy Strike x Lot Size (bounded max)

Example Setup (Bear Put — Bearish on NIFTY):

Element	Value
Spot	24,000
Buy 23900 PE	Rs 180
Sell 23600 PE	Rs 89
Net Debit	Rs 91
Max Loss / lot	Rs 91 x 75 = Rs 6,825
Max Profit / lot	(300 - 91) x 75 = Rs 15,675
Risk:Reward	1 : 2.3
Break-Even	23900 - 91 = 23,809
1:1 Target (Rs)	Rs 91 x 75 = Rs 6,825 profit
[Advanced] Extra Sell	23200 PE @ Rs 30 (support zone)
New Net Debit	91 - 30 = Rs 61
New Max Profit / lot	(300 - 61) x 75 = Rs 17,925 + extra Rs 2,250
New Risk:Reward	Approx 1:4 to 1:6

PART 14 — COMMON MISTAKES TO AVOID

✗ Buying Deep OTM	Deep OTM options need massive moves. Probability collapses. Always buy ATM or 100 pts OTM max.
✗ No Chart Bias	Entering spreads without clear directional bias is gambling. Chart must confirm first.
✗ Over-Leveraging	Taking 4 lots with Rs 1 lakh because margin allows it. Capital SL is hit instantly.
✗ Ignoring SL	Holding beyond predetermined SL hoping for reversal. This causes large losses.
✗ Fixing Losses Wrong	Adding new legs to save a losing trade. Clean exit is always better.
✗ Morning Entry	Entering at 9:15 AM. Opening volatility inflates premiums. Wait for 3:10 PM.
✗ Near-Expiry Entry	Entering with 1-2 DTE. Theta destroys the bought leg before market can move.
✗ Partial Closing Wrong	Closing only one leg (leaving naked leg). Always close both legs together.
✗ Chasing	Market already moved 5%. Entering now. The move is done — wait for next setup.
✗ Event Blindness	Not checking for upcoming RBI/Fed/results before entry. Events destroy debit spreads.
✗ Panic Exit Early	Closing at 1:0.5 because of minor adverse move. Let the strategy breathe per plan.
✗ Wrong R:R	Entering 1:1.2 setups. Premium cost is too high relative to profit. Skip the trade.

PART 15 — STRATEGY AT A GLANCE (1-PAGE SUMMARY)

BASIC DEBIT SPREAD	ADVANCED DEBIT SPREAD
2 legs (Buy ATM + Sell OTM)	3 legs (Buy ATM + Sell OTM + Extra Sell at S/R)
R:R ≈ 1:2 to 1:2.5	R:R ≈ 1:5 to 1:8
Simpler to manage	Requires chart analysis + active management
Good for beginners	Suitable after 3-4 months experience
Market must move quickly	Profits in sideways + trending markets
SL = Net debit paid	SL = Net debit paid (same rule)
No extra short to manage	Extra short: cut at 100-pt proximity
Profit book at 1:1	Profit book at 1:1 (same rule)
Weekly probability: 30-40%	Weekly probability: 50-55%+

The 5 Golden Rules of Debit Spreads

Rule 1	Chart bias MUST precede any trade. No chart = no trade.
Rule 2	Net debit = maximum loss. Accept it before entry.
Rule 3	At 1:1 profit → roll the buying leg. Never skip this step.
Rule 4	Extra short leg (Advanced): cut at 100 pts proximity. No exceptions.
Rule 5	Position size = 1 lot per Rs 1 lakh. No over-leveraging ever.

Quick Decision Matrix

Situation	Action
Market at strong resistance + bearish chart	Enter Bear Put Debit Spread
Market at strong support + bullish chart	Enter Bull Call Debit Spread
Market in middle of range, no clear bias	NO TRADE — wait
P&L; = 1:1	Roll buying leg, book partial profit
Chart SL triggered	Exit both legs immediately
Extra short within 100 pts	Cut extra short immediately
< 2 DTE, in loss	Exit both legs by 2:30 PM
Major event tomorrow	Exit or skip trade today

REMEMBER: Debit spreads are the SIMPLEST form of structured option trading. The edge comes from correct bias identification + disciplined position management, not from complex setups. Master this before moving to credit strategies.